

Variable Incentive Policy FY 26-27

Applicable Period: 6 Months Cycle

Applicable To: SE only

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue (Net Sales)	25%
Collection	30%
Product Mix	25%
Farmers Activity	20%
Total	100%

2. Revenue (Net Sales) (25%)

Definition of Net Sales = AOP GMV Target vs Achievement in terms Invoices after returns

GMV target = PL + specialized fertilizer products such as Urea Shakti & Prom + TM (Brand + PL)

If the revenue achievement is <60%,

- Revenue score = 0
- Product mix score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

3. Product Mix (25%)

The objective of this parameter is to reward the team for sales of higher-margin products

Each product has a predefined score:

Product Mix	Score
A	4
B	3
C	2
D	1

Example: SE Target: Rs 8 lac || Achievement: Rs 10 Lac

Product Mix	Lets assume Sales Ach. breakup	Contribution against Ach of Rs 10 lacs	Score Mix (predefined)	Product Mix Score
A	1	10%	4	0.4
B	3.5	35%	3	1.05
C	2.5	25%	2	0.5
D	3	30%	1	0.3
	10	100%		2.25

Product Mix Score Bucket	Product Mix Ach. Percentage
>3	150%
2.5 to 3	120%
2 to 2.5	100%
1.5 to 2	50%
<1.5	0%

Note:

- Since the score is 2.25 and it lies in the 2 to 2.5 bucket, the product mix score for this parameter will be 100%.
 - Achievement of Cattle feed will be excluded from the above calculations
 - Urea Shakti and T&M (Brand + PL will be included):
 - We will consider the product mix definition as per AOP
 - *If the revenue achievement is less than 60%, the product mix score will be 0*
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4. Collection (30%)

Measured on OD performance criteria

OD % = Overdue as on evaluation date ÷ Last 12 months' sales

Slabs:

OD Bucket	Achievement
>10%	Nil
6%-10%	60%
4-6%	80%
2-4%	100%
1-2%	150%
<1%	200%

Note:

- 1. Achievement will be calculated based on the final exit ending in H1 or H2.*
 - 2. OD will be calculated basis OD as on 30th Sept 2026 ÷ (divided by) last 12 months' sales, i.e., 1st Oct 2025 to 30th Sept 2026.*
 - 3. Every month, it will be calculated based on last 12 months from a directional perspective. However, final achievement will be exit of 30th Sept 26 & 31st March 27*
 - 4. If OD exceeds the 10% threshold, the final payout slab (refer to point no 7 below) will be capped at 70%. This condition will apply to each roleholder*
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5. Farmer Meeting (20%)

Objective: Strengthen farmer engagement and demand generation.

- Minimum target: 12 mega-farmer meetings per SE in 6 months
- Min of 50 farmers per meeting

Both the abovementioned conditions must be met

Note:

- If the achievement is fewer than 8 meetings in six months, then the score will be 0.
 - Achievement will have a cap of 100%
 - Large farmer meetings and Field Days must be held as per the guidelines of the Co. only
 - The budget for the farmer meetings will be shared separately
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6. Final Weighted Performance Score (WPS)

WPS = (Revenue % × 25%) + (Collection % × 30%) +(Product Mix % × 25%) + (Farmer Meeting% × 20%)

7. Payout Slab

Based on the weighted average score of all the parameters, the payout will be made as per the below-mentioned slabs. The score sheet will be readily available for everyone to track.

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150+	150%

8. Other Important Points

1. The variable will be paid out on a half-yearly basis for everyone
 2. AOP targets will be the only criterion for the calculation of the variable
 3. Regional Coordinators' variable will be calculated basis RBMs performance + 5%
 4. The growth manager's variable will be calculated based on the states' performance of the above mentioned parameters, plus an additional 5%
 5. ABMs handling two nodes, the weighted average will be considered. CM handling multiple categories, their score will be the weighted average of all categories
 6. New joinee: First three months to be considered 100% achievement
 7. Transfer Cases: 1st three months will be considered 100%
 8. Any person whose *last active working day as per HR* is after the completion of the quarter (Q1 or Q2 or Q3 or Q4) will be eligible for the payout for the previous quarter or quarters but at the time of final calculations
 9. If there is any compliance issue against any employee, his variable is to be put on hold till the entire issue is resolved
 10. SE-wise suggested AOP targets will be basis the active DC count of the last 12 months
 11. Adjustments in case of quality issues:
 - a. If the impact is of Rs 50L+, then only it will be considered for adjustment in States like UP, BH, MP, MH, WB, and JH.
 - b. For other states like RJ, OD, HR, GJ, CH value to be considered is Rs 25 lakh.
 - c. Adjustment will be done in the next quarter's calculations.
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Variable Incentive Policy FY 26-27

Applicable Period: 6-Month Cycle

Applicable To: ABMs only

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue	25%
Collection	30%
Product Mix	15%
Farmers Activity	20%
Distribution Depth	10%
Total	100%

All the above parameters are similar to those of a SE, except for a new parameter called "Distribution Depth," which is explained below

Distribution Depth (10%)

Objective: Increase portfolio penetration across the DC network.

Each ABM to ensure the billing of X number of products (subgroup level, not SKU) to a minimum of 25 DCs in 6 months. If the ABM is handling two nodes, this parameter will apply to each node.

Min Billing amount/product/DC INR 5000 in 6 months

No of Products	Score
0-5	0%
6 - 10	60%
11 - 15	80%
16 - 20	100%
21+	120%

Example:

- Node sells to a minimum of 25 DCs (threshold)
 - To each DC minimum of 6 products to be sold at the subgroup level in 6 months
 - Minimum of Rs 5000 per product in 6 months.
 - If these conditions are met SE will achieve 60%
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Payout Slab

Based on the weighted average score of all the parameters, the payout will be made as per the below-mentioned slabs. The score sheet will be readily available for everyone to track.

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150+	150%

Variable Incentive Policy FY 26-27

Applicable Period: 6-Month Cycle

Applicable To: RBM only

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue	20%
Collection	20%
Product Mix	20%
Farmers Activity	15%
Distribution Depth	15%
Inventory Discipline	10%
Total	100%

All the above parameters are similar to those of an ABM, except for a new parameter called "Inventory Discipline," which is explained below

Inventory Discipline (State Level) (10%)

Objective: How effectively the RBM manages inventory aging across the state and improves working capital

Inventory Bucket	Achievement
10%+	0%
5-10%	60%
3-5%	80%
1-3%	100%
<1%	150%

Achievement will be calculated based on the final exit ending in H1 or H2.

Inventory achievement at the state level will apply to all RBMs at state level

1. Inventory will be calculated based on inventory as of 30th Sept 2026 ÷ (divided by) the last 12 months' sales, i.e., 1st Oct 2025 to 30th Sept 2026.
2. On a monthly basis it will be calculated based on the last 12 months from a directional point of view. However, the final achievement will be exit of 30th Sept 2026 and 31st March 2027

3. If inventory exceeds the 10% threshold, the final payout slab will be capped at 70%.
4. *Products to be excluded: CBL, expired as of 1st April 2026, damaged as of 1st April 2026, and damaged inventory on an ongoing basis.*

Distribution Depth (10%)

Objective: Increase portfolio penetration across the DC network.

Each RBM has to drive the distribution depth parameter for each node, as explained for ABMs

(min 25 DCs to be billed with X products at a subgroup level; [refer to this](#))

Example:

- If RBM has 5 nodes and all 5 nodes achieve their distribution parameter target, then RBM will achieve a score of 150%
- If out of 5 nodes, 4 nodes achieve the distribution parameter target, then the score will be 100%

Accordingly, for RBMs, the way it will be tracked is as follows:

No of Nodes	Score
All Nodes	150%
1 Node less	100%
2 Nodes less	80%
>=3 Nodes less	0%

Payout Slab

Based on the weighted average score of all the parameters, the payout will be made as per the slabs mentioned below. The score sheet will be readily available for everyone to track.

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150+	150%

Variable Incentive Policy FY 26-27

Applicable Period: 6-Month Cycle

Applicable To: State category Lead and Support

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue	25%
Gross margin (value)	30%
Product Mix	25%
Inventory	20%
Total	100%

2. Net Sales (25%)

Definition of Net Sales = AOP GMV Target vs Achievement in terms of Invoices after returns

If the revenue achievement is <60% revenue score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

3. Gross Margin (30%)

Gross Margin as per AOP vs Actual achievement after expired inventory

If the GM achievement is <60% Gross margin score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

3. Product Mix (25%)

The objective of this parameter is to reward the team for sales of a higher margin products

Each product has a predefined score:

Product Mix	Score
A	4
B	3
C	2
D	1

Example: Category Manager Target: Rs 80 lac || Achievement: Rs 100 Lac

Product Mix	Lets assume Sales Ach. breakup	Contribution against Ach of Rs 10 lacs	Score Mix (predefined)	Product Mix Score
A	10	10%	4	0.4
B	35	35%	3	1.05
C	25	25%	2	0.5
D	30	30%	1	0.3
	100	100%		2.25

Product Mix Score Bucket	Product Mix Ach. Percentage
>3	150%
2.5 to 3	120%
2 to 2.5	100%
1.5 to 2	50%
<1.5	0%

Note:

- Since the score is 2.25 and it lies in the 2 to 2.5 bucket, the product mix score for this parameter will be 100%.
 - We will consider the product mix definition as per AOP
 - *If the revenue achievement is less than 60%, the product mix score will be zero*
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4. Inventory Discipline (State Level) (20%)

Objective: How effectively the State Category manages inventory aging across the state and improves working capital

Inventory Bucket	Achievement
10%+	0%
5-10%	60%
3-5%	80%
1-3%	100%
<1%	120%

1. Achievement will be calculated based on the final exit ending in H1 or H2.
 2. This parameter is *also* applicable to all RBMs at state level
 3. Inventory will be calculated based on inventory as of 30th Sept 2026 ÷ (divided by) the last 12 months' sales, i.e., 1st Oct 2025 to 30th Sept 2026.
 4. On a monthly basis it will be calculated based on the last 12 months from a directional point of view. However, the final achievement will be exit of 30th Sept 2026 and 31st March 2027
 5. If inventory exceeds the 10% threshold, the final payout slab will be capped at 70%.
 6. *Products to be excluded: CBL, expired as of 1st April 2026, damaged as of 1st April 2026, and damaged inventory on an ongoing basis.*
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6. Payout Slab

Based on the weighted average score of all the parameters, the payout will be made as per the below-mentioned slabs. The score sheet will be readily available for everyone to track.

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150+	150%

7. Other Important Points

1. The variable will be paid out on a half-yearly basis for everyone
2. AOP targets will be the only criterion for the calculation of the variable
3. The category support variable will be calculated basis State category performance
4. Category managers handling multiple categories or states, their score will be the weighted average of all categories and states
5. New joinee: First three months to be considered 100% achievement
6. Transfer Cases: 1st three will be considered 100%
7. Any person whose *last active working day* is after the completion of the quarter (Q1 or Q2 or Q3 or Q4) will be eligible for the payout for the previous quarter or quarters but at the time of final calculations
8. If there is any compliance issue against any employee, his variable is to be put on hold till the entire issue is resolved

Variable Incentive Policy FY 26-27

Applicable Period: 6-Month Cycle

Applicable To: National category Lead and Support

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue	20%
Gross margin (value)	20%
Inventory	10%
Quality	20%
Fulfillment	30%
Total	100%

2. Net Sales 20%

Definition of Net Sales = AOP GMV Target vs Achievement in terms Invoices after returns

If the revenue achievement is <60% revenue score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

3. Gross Margin (20%)

Gross Margin as per AOP vs Actual achievement after expired inventory

If the gross margin achievement is <60% GM = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

4. Inventory Discipline (10%)

Objective: How effectively the National Category manages inventory aging across the state and improves working capital

Inventory Bucket	Achievement
10%+	0%
5-10%	60%
3-5%	80%
1-3%	100%
<1%	120%

1. Achievement will be calculated based on the final exit ending in H1 or H2.
 2. These parameters is also applicable to all RBMs at state level
 3. Inventory will be calculated based on inventory as of 30th Sept 2026 ÷ (divided by) the last 12 months' sales, i.e., 1st Oct 2025 to 30th Sept 2026.
 4. Every month it will be calculated based on the last 12 months from a directional point of view. However, the final achievement will be exit of 30th Sept 2026 and 31st March 2027
 5. If inventory exceeds the 10% threshold, the final payout slab will be capped at 70%.
 6. *Products to be excluded: CBL, expired as of 1st April 2026, damaged as of 1st April 2026, and damaged inventory on an ongoing basis.*
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5. Quality (20%)

Revenue Impact of Quality

Type	Description	Example	Factor
Minor	Packaging, Lower than claimed performance	CP	0.1
Major	Product mismatch, germination failure / mixing in seeds & Crop loss in CP/CN in <10% lots	Maize 4068	0.5
Critical	Issue in Multiple lots.	Maize 9181	1

Revenue Impact of Quality	Achievement
5%+	0%
3-5%	60%
1-3%	100%
0.5-1%	150%
<0.5%	200%

Example:

If the plan of FC is 70 cr in H1. If total complaints are worth Rs 2 cr.

Out of 2 cr lets say minor is Rs 1 cr, major is Rs 70 lacs, and critical is Rs 30 lacs.

As per the factor table above score will be calculated as below

Issue Type	Issue Amount in cr	Factor	Factored Value
Minor	1	0.1	0.1
Major	0.7	0.5	0.35
Critical	0.3	1	0.3
Gross Factored Value			0.75
H1 Target (in cr)			70
Impacted Value Score			1.07%

Since the score is 1.07% total achievement under this parameter will be 100% as per the table above

6. Fulfillment (30%):

National Category Heads to ensure fulfillment at the product level against the monthly business plan or AOP, whichever is available.

Criteria:

1. Key Products that are unavailable—only those products will be considered for calculation
2. Definition of Key Products - Products that will come under 80% of the State plan
3. The expectation for the unfulfilled key products is as follows:
 - a. By 7th 30% FF to happen as against the fulfillment plan.
 - b. By 14th 60% FF to happen as against the fulfillment plan.
 - c. By 21st 90% FF to happen as against the fulfillment plan

Weekly achievement will be calculated as per the table below

Under FF	Score
90% to 100%	5
85% to 90%	4
80% to 85%	3
75% to 80%	2
70% to 75%	1
<70%	0

Calculation Methodology:

- Step 1: Targets and achievements will be calculated for each of the key product of each state.
- Step 2: For each key product, a score will be given as per the table above (each week)
- Step 3: The average score will be derived basis the score of the week for all the key products across all states
- Step 4: As per the final score, achievement will be calculated as per the table below

Average Score	Achievement
5	110%
4	100%
3	90%
2	80%
1	70%
0	0%

7. Final Payout Slab

Based on the weighted average score of all the parameters, the payout will be made as per the below-mentioned slabs. The score sheet will be readily available for everyone to track.

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150+	150%

8. Other Important Points

1. The variable will be paid out on a half-yearly basis for everyone
2. AOP targets will be the only criterion for the calculation of the variable
3. The category support variable will be calculated based on category performance

4. For category managers handling multiple categories, their score will be the weighted average of all categories
5. New joinee: First three months to be considered 100% achievement
6. Transfer Cases: 1st three will be considered 100%
7. Any person whose *last active working day* is after the completion of the quarter (Q1 or Q2 or Q3 or Q4) will be eligible for the payout for the previous quarter or quarters but at the time of final calculations
8. If there is any compliance issue against any employee, his variable is to be put on hold till the entire issue is resolved

Variable Incentive Policy FY 26-27

Applicable Period: 6-Month Cycle

Applicable To: Cattle Feed Leads, Support and Sales team members

Objective: Drive profitable growth, strengthen collections, and expand DC ecosystem.

1. Performance Parameters & Weightage

Parameter	Weight
Revenue	25%
Gross margin (value)	25%
Prepaid	15%
Dropship	15%
Supplements	20%
Total	100%

2. Net Sales 25%

Definition of Net Sales = AOP GMV Target vs Achievement in terms Invoices after returns

If the revenue achievement is <60% revenue score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

3. Gross Margin (30%)

Gross Margin as per AOP vs Actual achievement after expired inventory

If the revenue achievement is <60% revenue score = 0

The calculation will be done on a 6-month cumulative basis, with a capping of 200%

4. Dropship (15%)

As per the table below

Inventory Bucket	Achievement
<30%	40%
30%–40%	60%
40% to 50%	80%
50% to 60%	100%
60% to 70%	150%
70%+	200%

Achievement will be calculated based on the final exit ending in H1 or H2.

5. Prepaid (15%)

As per the table below

Inventory Bucket	Achievement
<15%	0%
15%–25%	60%
25% to 50%	80%
50% to 60%	100%
60% to 70%	150%
70%+	200%

6. Supplement (15%)

As per the table below

Against AOPB	Achievement
<2%	0%
2% to 3%	80%
3% to 4%	100%
4% to 5%	150%
5%+	200%

7. Payout Slab

Final Score	Payout %
<60%	0%
60-69.9%	50%
70%-79.9%	70%
80%-89.9%	80%
90%-99.9%	90%
100-119.9%	100%
120-149.9%	120%
150%+	150%

8. Other Important Points

- The variable will be paid out on a half-yearly basis for everyone
 - AOP targets will be the only criterion for the calculation of the variable
 - The CF category teams variable will be calculated basis category performance
 - CF Category team members handling multiple geographies, score will be the weighted average of all geographies
 - New joinee: First three months to be considered 100% achievement
 - Transfer Cases: 1st three will be considered 100%
 - Any person whose *last active working day* is after the completion of the quarter (Q1 or Q2 or Q3 or Q4) will be eligible for the payout for the previous quarter or quarters but at the time of final calculations
9. If there is any compliance issue against any employee, his variable is to be put on hold till the entire issue is resolved